

VCU323083 David, Ramil Bungcayao vs. American Honda Motor Co., Inc.

County: tulare

Division: Civil Law and Motion

Department: 2

Hearing date: 2026-09-22

Motion: Motion re: Determination of Civil Penalties

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Re: David, Ramil Bungcayao vs. American Honda Motor Co., Inc.

Case No.: VCU323083

Date: September 22, 2026

Time: 8:30 A.M.

Dept. 2-The Honorable Bret D. Hillman

Motion: Motion re: Determination of Civil Penalties

Tentative Ruling: To award a \$57,000 penalty to Plaintiff

Facts

In this matter, Plaintiff sues Defendant for:

- 1) Civil Code section 1793.2(d)
- 2) Civil Code section 1793.2(b)
- 3) Civil Code section 1793.2(a)(3)
- 4) Civil Code section 1793.1(a) (Breach of Express Warranty)
- 5) Civil Code sections 1791.1 and 1794 (Breach of Implied Warranty of Merchantability)

The complaint seeks a civil penalty of two times Plaintiff's actual damages pursuant to Civil Code section 1794(c) as to the first cause of action involving Plaintiff's purchase of a new 2024 Honda Ridgeline VIN 5FPYK3F41RB030221("Subject

Vehicle"). By this motion, plaintiff seeks a civil penalty of \$57,000, one times the agreed restitution amount.

Plaintiff indicates that the Subject Vehicle was purchased new on September 23, 2024 and that, on November 4, 2024, at 537 miles, Plaintiff presented the Subject Vehicle to Clawson Honda because blue smoke came out of the exhaust under both hot and cold conditions. Plaintiff indicates that the repair record indicates the dealer contacted the "Honda Tech Line" and thereafter removed and inspected the spark plugs at the Tech Line's direction. Further, that Plaintiff was instructed by the dealer to continue driving because the engine was new. The invoice indicates the Subject Vehicle was ready December 9, 2024.

On June 16, 2025, at 8,239 miles, Plaintiff presented the Subject Vehicle to Visalia Honda for blue smoke from the tailpipe. Plaintiff indicates that the Tech Line report identified this matter as a repeat visit, that Honda became directly involved in the diagnosis, the dealer found serious internal engine damage including a bent valve, and Honda authorized replacement of the short block under warranty. The Subject Vehicle remained at the dealership until August 6, 2025.

Plaintiff filed this matter July 7, 2025, while the Subject Vehicle was at the dealer for repair.

Plaintiff took the deposition of Defendant's expert witness on June 22, 2026 who confirms that the Subject Vehicle was initially at the dealer in November 2024 for more than 30 days for the blue smoke condition and that the dealership did not repair the condition at that time, having recommended driving the car for 5,000 miles. (Deposition of Newallis 106:16-25, 107:1-18.) Further, that Newallis testified the car was presented twice for the blue smoke issue. (Deposition of Newallis 106:9-13.)

Additionally, Plaintiff took the deposition of Defendant's corporate designee on June 25, 2026 who testified that as of July 7, 2025, when the suit was served, the Subject Vehicle was being repaired for warranty work, that after being served with the complaint, Defendant did not offer to repurchase the Subject Vehicle until Defendant's counsel served the repurchase offer during a break in this deposition. (Deposition of Pacheco 72-73.)

Defendant, in opposition, submits the declaration of Pacheco stating that the November 4, 2024 event did not generate a "Techline Report" and that a Techline Report was first generated June 18, 2025. (Declaration of Pacheco ¶¶6, 7.) Further, that there was only one warranty claim for the Subject Vehicle in the amount of \$7,984.93 and the claim was processed on August 28, 2025. (Declaration of Pacheco ¶11.)

This matter settled July 2, 2026, for \$57,000, but left open the issue of whether a penalty, if any, should be assessed under Civil Code section 1794(c) as to a willful failure to comply with Song Beverly's requirement to repurchase the Subject Vehicle based on the two events identified above.

Plaintiff seeks a penalty equal to \$57,000.

Authority and Analysis

Here, Plaintiff expressly argues that Civil Code section 1793.2(d)(2) is the basis for the liability here and permits a penalty for willful violation thereof under section 1794(c).

If a manufacturer or its representative cannot service or repair the vehicle "to conform to the applicable express warranties after a reasonable number of attempts, the manufacturer shall either" promptly replace the new motor vehicle or make restitution. (Civ. Code, § 1793.2(d)(2).) A "nonconformity" means a nonconformity which "substantially impairs the use, value, or safety of the new motor vehicle to the buyer or lessee." (Civ. Code, § 1793.22(e)(1).)

"If the buyer establishes that the failure to comply was willful, the judgment may include, in addition to the amounts recovered under subdivision (a), a civil penalty which shall not exceed two times the amount of actual damages." (Civ. Code § 1794(c).)

The Court starts with the issue of "reasonable number of repair opportunities" and the rebuttable presumption under Civil Code section 1793.22.

Section 1793.22(b) states:

"(b) It shall be presumed that a reasonable number of attempts have been made to conform a new motor vehicle to the applicable express warranties if, within 18 months from delivery to the buyer or 18,000 miles on the odometer of the vehicle, whichever occurs first, one or more of the following occurs:

...

(3) The vehicle is out of service by reason of repair of nonconformities by the manufacturer or its agents for a cumulative total of more than 30 calendar days since delivery of the vehicle to the buyer. The 30-day limit shall be extended only if repairs cannot be performed due to conditions beyond the control of the manufacturer or its agents. The buyer shall be required to directly notify the manufacturer pursuant to paragraphs (1) and (2) only if the manufacturer has clearly and conspicuously disclosed to the buyer, with the warranty or the owner's manual, the provisions of this section and that of subdivision (d) of Section 1793.2, including the requirement that the buyer must notify the manufacturer directly pursuant to paragraphs (1) and (2). The notification, if required, shall be sent to the address, if any, specified clearly and conspicuously by the manufacturer in the warranty or owner's manual. This presumption shall be a rebuttable presumption affecting the burden of proof, and it may be asserted by the buyer in any civil action, including an action in small claims court, or other formal or informal proceeding."

Here, the Vehicle, during November 2024 and June 2025, was less than 18 months from delivery and less than 18,000 miles. Plaintiff presented the Subject Vehicle twice for the same blue smoke issue and each presentation lasted more than 30 days both independently and cumulatively.

The law does not require more than this by Plaintiff. *Oregel v. American IsuzuMotors, Inc.* (2001) 90 Cal.App.4th 1094, 1103-1104 notes "[T]he only affirmative step the Act imposes on consumers is to 'permit[] the manufacturer a reasonable opportunity to repair the vehicle.' Whether or not the manufacturer's agents choose to take advantage of the opportunity, or are unable despite that opportunity to isolate and make an effort to repair the problem, are matters for which the consumer is not responsible."

Defendant argues that the first presentation did not result in a "Techline Report" and that the Court should find only a single presentation under the Song Beverly Act has occurred. However, this would appear to impose some requirement outside the Plaintiff's control as to how a manufacturer or dealer labels or categorizes a repair. Plaintiff's vehicle emitted blue smoke, and Plaintiff took the Subject Vehicle to an authorized dealer November 4, 2024. The blue smoke issue occurred again and Plaintiff took the Subject Vehicle for service June 16, 2025.

Both of these presentations above lasted more than 30 days independently and therefore meet the cumulative 30-day requirement under (b)(3).

Defendant argues that the lawsuit was filed before the conclusion of the second presentation and therefore Plaintiff cannot establish two presentations. However, the 30 days had already elapsed via the first presentation.

As such, the Court finds Plaintiff has established via the rebuttable presumption under section 1793.22(b)(3).

Defendant did not offer to repurchase the Vehicle until June 25, 2026.

Having established the presumption and finding Defendant has not rebutted it, the Court finds Plaintiff has sufficiently established a violation of Civil Code section 1793.2(d)(2).

As such, the Court examines whether the Defendant's failure to promptly replace or buy back the Subject Vehicle was willful in nature.

Oregel v. American Isuzu Motors, Inc. (2001) 90 Cal.App.4th 1094, 1104 notes:

"The proper standard, as explained by the court in *Kwan v. Mercedes-Benz of North America, Inc.* (1994) 23 Cal. App. 4th 174, 185 is that: '...a violation is not willful if the defendant's failure to replace or refund was the result of a good faith and reasonable belief the facts imposing the statutory obligation were not present. This might be the case, for example, if the manufacturer reasonably believed the product did conform to the warranty, or a reasonable number of repair attempts had not been made, or the buyer desired further repair rather than replacement or refund. [¶] Our interpretation of section 1794(c) is consistent with the general policy against imposing forfeitures or penalties against parties for their good faith, reasonable actions. Unlike a standard requiring the plaintiff to prove the defendant actually knew of its obligation to refund or replace, which would allow manufacturers to escape the penalty by deliberately remaining ignorant of the facts, the interpretation we espouse will not vitiate the intended deterrent effect of the penalty. And unlike a simple equation of willfulness with volition, which would render 'willful' virtually all cases of refusal to replace or refund, our interpretation preserves the Act's distinction between willful and nonwillful violations.' (Original italics.)"

Kwan further notes "We agree a manufacturer who refused a refund or replacement on the ground a reasonable number of repair attempts had not been made, without making any effort to gather the available information on repair history, might well be deemed to have acted willfully. A decision made without the use of reasonably available information germane to that decision is not a reasonable, good faith decision." (Kwan, supra, 23 Cal. App. 4th at 186.)

Here, the Court has found a reasonable number of attempts had occurred via the presumption established above at the time the lawsuit was filed. Further, the repair was completed after the filing of the lawsuit in the amount of \$8,000 and at that point a Techline Report had been generated indicating a repeat visit. That repair too lasted over 30 days. Therefore, by August 6, 2026, Defendant would appear to have all information necessary to decide whether or not to offer a buyback. While Defendant argues that only a single Techline Report had been generated and therefore Defendant concluded no reasonable number of repair attempts had been made, the Court notes the content of the Techline Report indicating a repeat visit, the length of time the Vehicle was at the dealer and that no repurchase offer occurred until approximately 10 months later. The Court does not find the date of the repurchase offer barred under Evidence Code section 1152 and overrules Defendant's objection thereto. In other words, Defendant had reasonably available information germane to the decision to offer repurchase, but did not act despite Plaintiff's establishing of a reasonable number of attempts by both the length of time the Vehicle was at the dealer for service and number of repair attempts.

Therefore, the Court will impose the penalty in the amount of \$57,000 pursuant to Civil Code section 1794(c).

If no one requests oral argument, under Code of Civil Procedure section 1019.5(a) and California Rules of Court, rule 3.1312(a), no further written order is necessary. The minute order adopting this tentative ruling will become the order of the court and service by the clerk will constitute notice of the order. Court reporters are usually not available for law and motion matters in the civil division. The parties and counsel must provide their own reporter if they want a transcript of the proceedings.